

MARKET RESEARCH REPORT · APRIL 2026

Selects AI Market Analysis

TAM/SOM Sizing · Competitive Landscape · Consumer Personas · Geographic Strategy

CONFIDENTIAL · FOR INTERNAL USE ONLY

Executive Summary

Selects sits at the intersection of two compounding problems: the \$230B streaming market has created a discovery crisis (49% of viewers sometimes give up and watch nothing), and AI recommendation engines are a \$5.4B and rapidly expanding market. The "curious casual" persona is underserved and real. The Spotify comp is apt and investable. The biggest risks are a well-funded competitor in Queue and solo founder execution speed. This is a fundable, plausible company — with the right sequencing.

The Problem — Decision Fatigue Data

This is Selects' best go-to-market ammunition. The pain point is massive and documented.

49%

110 hrs

27.8%

VIEWERS SOMETIMES GIVE
UP & WATCH NOTHING

AVERAGE HOURS/YEAR
SPENT DECIDING WHAT TO
WATCH

AMERICANS
EXPERIENCING
STREAMING FATIGUE

1 in 5 viewers abandon their viewing session entirely due to indecision — they choose to do something else instead.

16 minutes/day is the average time spent deciding what to watch, per UserTesting 2024 survey.

"Too much choice" cited by a third of 2,000 surveyed viewers as their primary frustration.

Market Sizing

Total Addressable Market (TAM)

Lens 1: Streaming + Content Discovery

- Global video streaming market: **\$230B+ in 2024**, growing at 17% YoY
- AI-based recommendation engine market: **\$5.39B in 2024** → projected \$119B by 2034, CAGR 36%

Lens 2: Film App / Companion App Market (Comparable Exits)

- Letterboxd: 17–20M users, acquired for **\$50M in 2023**
- MUBI: **\$77M revenue, \$1B valuation in 2024**
- JustWatch: **20M+ users, \$50–100M estimated revenue**

TAM (Relevant Frame): \$2–5B — the addressable market for film/TV discovery and taste intelligence apps globally, based on comparable platform valuations and AI recommendation spend redirected toward consumer products.

Serviceable Addressable Market (SAM)

Targeting English-speaking markets (US, UK, Canada, Australia) with streaming penetration above 70%:

- ~200M active streaming subscribers in the US alone

- The "curious casual" — not cinephiles — represents the **middle 40–60%** of streaming subscribers who care but are underserved
- **SAM estimate: 80–120M users** in the US matching the target profile
- At \$5–10/year ARPU (freemium → premium): **\$400M–\$1.2B SAM in the US**

Serviceable Obtainable Market (SOM)

- 50K users Year 1 (waitlist → active): conservative, achievable with LinkedIn + App Store strategy
- 500K users by Year 3: comparable to early-stage Letterboxd trajectory
- At 5–10% paid conversion and \$5–10/month: **\$1.5M–\$6M ARR by Year 3**

SOM: \$3M–\$6M ARR within 3 years is a realistic, fundable milestone.

Competitive Landscape

Competitor	Strength	Weakness	Selects Angle
Netflix / Prime AI	Platform-native, scale	Serves their catalog only; no taste identity	Selects is cross-platform and taste-first
Letterboxd	17–20M users, culture, brand	Logging tool, no real recommendation engine; cinephile-skewing	Selects solves discovery, not logging
JustWatch	20M users, 130 markets	"Where to watch" utility, no taste intelligence	Pure utility vs. Selects' identity layer
MUBI	\$1B valuation, curation brand	Subscription streaming, not discovery; niche arthouse	Complementary, not competing
Queue	Swipe UX, Match Group-adjacent funding	Broad "what to watch" — no taste graph depth	Selects = taste identity; Queue = title matching

Key insight: No competitor owns the *taste identity* position. Letterboxd comes closest culturally but doesn't recommend. That gap is Selects' moat.

Target Personas

Persona 1: "The Curious Casual" — Primary (All Genders, 24–38)

- **Profile:** Watches 3–6 films/month, mostly streaming; knows when something "hits" but can't articulate why
- **Pain:** Decision fatigue is a real, recurring frustration; Netflix algorithm feels circular
- **Trigger to use Selects:** Spent 25 minutes scrolling and watched nothing
- **Channels:** TikTok, Instagram, word-of-mouth
- **Pricing tolerance:** Freemium → \$4.99/month if proven

Persona 2: "The Taste Seeker" — Secondary (Female-skewing, 28–45)

- **Profile:** Active on Letterboxd or follows film accounts; wants recommendations, not logging; treats film taste as identity
- **Data:** 74% prefer originals and independent films over franchise content
- **Channels:** Editorial content, Substack, LinkedIn, Instagram film accounts
- **Pricing tolerance:** \$7.99–\$9.99/month (matches MUBI-level spend)

Persona 3: "The Lapsed Film Fan" — Tertiary (Male, 35–55)

- **Profile:** Used to watch more films; has lost the thread in the streaming era; nostalgic for Blockbuster-era discovery
- **Data:** 55%+ of adults actively seek older films — scales up with age
- **Channels:** Email, lifestyle editorial, podcast advertising
- **Pricing tolerance:** \$6.99–\$12.99/month if UI is simple

Persona 4: "The Gen Z Film-Curious" — Growth (All Genders, 18–26)

- **Profile:** Primary media diet is short-form but increasingly exploring film; Letterboxd-aware but doesn't log; responds to aesthetic brands — A24, Criterion energy
- **Data:** 52% of Gen Z feel stronger connections to platform personalities than to actors
- **Channels:** TikTok BookTok-style film content, Orbit demo video virality potential
- **Pricing tolerance:** Free tier essential; upsell through features

Geographic Analysis — USA

Market	Priority	Rationale
New York	Tier 1	Film culture capital; tastemaker density; editorial press concentration; early adopter tech + arts audience
Los Angeles	Tier 1	Industry adjacent; film-literate consumer base; influencer and creator density for organic growth
Chicago / Boston / Seattle	Tier 1	High-income, educated urban consumers; strong streaming saturation; underserved by film-specific apps
College Markets (Ann Arbor, Austin, Cambridge)	Tier 2	Film club adjacency; Letterboxd crossover; early adopter pipeline; co-founder hunt territory

GTM Geographic Recommendation

Start digital-first with no geographic constraint — the product is App Store + web, not geo-locked. Focus PR and influencer seeding in **NYC and LA** to establish cultural credibility. Film critics, indie cinema programmers, and A24-adjacent audiences there create the taste authority that justifies the positioning.

Key Findings

1. **The pain point is massive and documented** — 110 hours/year lost to decision fatigue is a solvable, concrete problem.
2. **No one owns taste identity for film** — Letterboxd owns logging; JustWatch owns "where"; nobody owns who you are as a watcher.
3. **The Spotify comp is accurate and powerful** — Spotify Wrapped created cultural moments from listening data; Selects can do the same for film.
4. **AI recommendation market is investor-hot** — \$107B deployed into AI startups in 2025, up 28% YoY.
5. **Letterboxd's \$50M exit and MUBI's \$1B valuation set the ceiling** — a taste-intelligence layer above both is a credible \$100M+ outcome.

6. **Tech for Film & TV funding rose 151% in 2025** — the sector is active and capital is flowing.

Risks & Caveats

Queue is a real threat — swipe-based UX is the same surface. Differentiation must be felt in the product, not just positioned in the deck.

Cold start problem — Vibe Engine requires behavioral data at scale to work well; early users get a worse product. Need a seeding strategy.

Solo founder speed — GTM strength is real; engineering depth gap is real. The co-founder search is not optional.

Monetization timing — Freemium with delayed conversion is fine, but \$250K won't last long if burn isn't disciplined.

Gen Z drift from film — younger cohort is migrating toward short-form. Selects' bet is a film cultural resurgence via Letterboxd/A24 aesthetics — plausible but worth monitoring.

Recommendation

This is fundable. Build in this order.

1. — landing page with Orbit demo video. This is the proof of demand.
2. — "Why Netflix can't recommend you anything good" is the post. Establish thought leadership before the app ships.
3. — target investors who want studio access deals, not just SaaS multiples. Find them through NEON, A24, Sundance alumni networks.

4. — the LinkedIn content strategy will attract the film + code intersection better than cold outreach. Make it explicit in the content.
5. — every investor meeting starts with a live Orbit session.

The founder's marketing DNA is the actual unfair advantage. The company that wins taste identity for film will be built by someone who treats brand and content as a core competency — not an afterthought.

SOURCES

UserTesting — Stream Fatigue Global Report (usertesting.com)

StreamTV Insider — Choice Fatigue & Viewer Drop-off (streamtvinsider.com)

Global Growth Insights — AI Recommendation System Market (globalgrowthinsights.com)

Letterboxd — Wikipedia / Deadline 2024 Year-End Report

GetLatka — MUBI Revenue Profile (getlatka.com)

The Wrap — Gen Z Content Preferences 2024 (thewrap.com)

Tracxn — Tech for Film & TV Sector Funding 2025 (tracxn.com)

Camphouse — Gen Z Streaming Habits 2025 (camphouse.io)

JPLoft — Video Streaming Market Statistics 2025 (jploft.com)